

↑ AFFIX SEAL HERE ↑

CANDIDATE – PLEASE NOTE!

You must sign below and return this booklet with the Answer Sheet. Failure to do so may result in disqualification.

Signature

TEST CODE **01240010**

MAY/JUNE 2005

FORMTP 2005130

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

SECONDARY EDUCATION CERTIFICATE

EXAMINATION

PRINCIPLES OF BUSINESS

Paper 01 - General Proficiency

75 minutes

31 MAY 2005 (p.m.)

READ THE FOLLOWING DIRECTIONS CAREFULLY

1. In addition to this test booklet, you should have an answer sheet.
2. Each item in this test has four suggested answers lettered (A), (B), (C), (D). Read each item you are about to answer and decide which choice is best.
3. On your answer sheet, find the number which corresponds to your item and blacken the space having the same letter as the answer you have chosen. Look at the sample item below.

Sample Item

The money a business receives from the sale of goods or services is called its

- (A) assets
- (B) capital
- (C) income
- (D) resources

Sample Answer

(A) (B) (C) (D)

The best answer to this item is "income", so answer space (C) has been blackened.

4. If you want to change your answer, be sure to erase your old answer completely and fill in your new choice.
5. When you are told to begin, turn the page and work as quickly and as carefully as you can. If you cannot answer an item, omit it and go on to the next one. You can return to the omitted item later. Your score will be the total number of correct answers.
6. This test consists of 60 items. You will have 75 minutes to answer them.
7. Do not be concerned that the answer sheet provides for more answers than there are items in this test.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO

- 2 -

1. Which of the following statements explain why a barter system restricts exchange?
 - I. There must be a coincidence of wants.
 - II. The commodities used are not homogeneous.
 - III. It is difficult to divide certain commodities.
 - IV. A rate of exchange must be determined.

(A) II and III only
(B) III and IV only
(C) I, II and III only
(D) I, III and IV only
2. The functions of a business unit are
 - I. production of goods and services
 - II. creation of jobs
 - III. maximization of sales
 - IV. education of workers

(A) I, II and III only
(B) I, II and IV only
(C) I, III and IV only
(D) II, III and IV only
3. Subsidised meals for employees would fall under which of the following categories?

(A) Workmen's compensation
(B) Wages and salaries
(C) Duty allowance
(D) Fringe benefits
4. Private enterprise is run MAINLY to
 - (A) create profit
 - (B) reduce inflation
 - (C) distribute goods and services fairly
 - (D) provide jobs for more people
5. Which of the following can have its shares traded on the stock exchange?

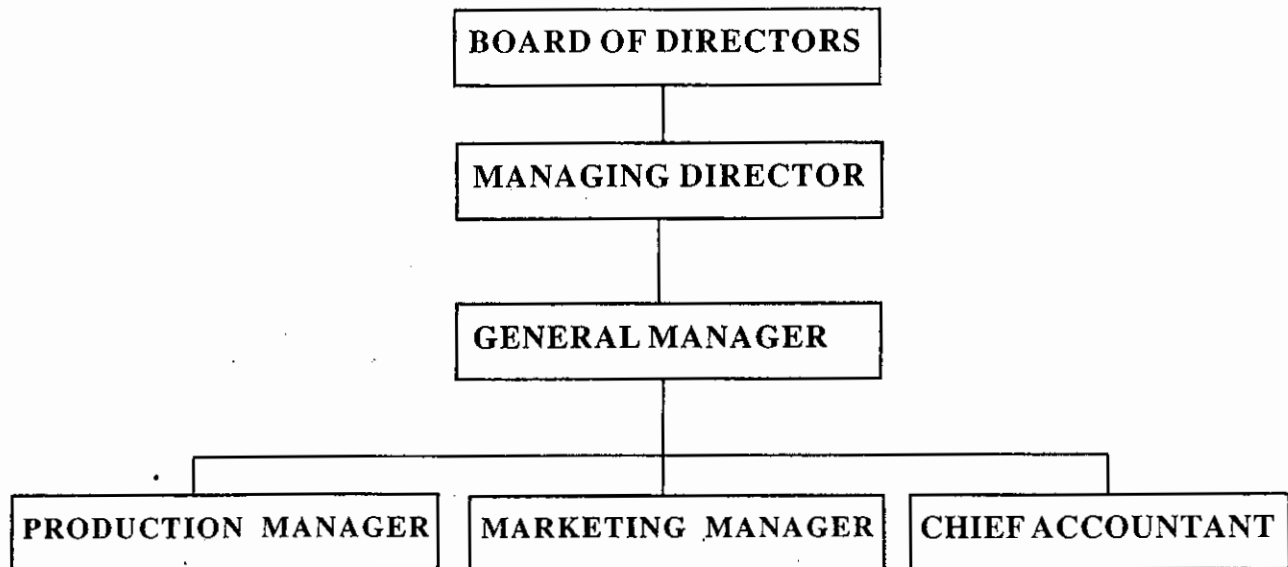
(A) A partnership
(B) A private company
(C) A public company
(D) A co-operative society
6. One benefit of multinational corporations to Caribbean countries is
 - (A) reduction of national ownership
 - (B) depletion of material resources
 - (C) repatriation of profits
 - (D) employment
7. Which of the following is MOST LIKELY to occur when a member of a partnership dies?

(A) The business is closed down
(B) A new partner is brought in
(C) The government takes over the business
(D) The business becomes a joint stock company
8. In a firm with a departmentalized structure, which department performs the four duties listed below?
 - I. Receiving the goods purchased
 - II. Giving a report on the quality of goods received
 - III. Applying the principles involved in costing goods
 - IV. Keeping an inventory

(A) Finance
(B) Stock control
(C) Purchasing
(D) Marketing

- 3 -

Item 9 is based on the diagram below which shows a section of a typical vertical organisational chart for a manufacturing company.



9. The relationship between the highest level of management down to the various departments is known as the

(A) line
(B) rank
(C) staff
(D) flow

10. The Manager of ABC company has embarked upon sponsoring a school cricket team in a Caribbean territory. Which responsibility is the company fulfilling?

(A) Its obligation to customers
(B) Its social obligation
(C) Its economic obligation
(D) Its obligation to maximise surpluses

Item 11 refers to the following statement:

"The leader deliberately stands back and lets the subordinates plan their own work and make their own decisions as far as possible."

11. Which word BEST describes the type of administration referred to in the above statement?

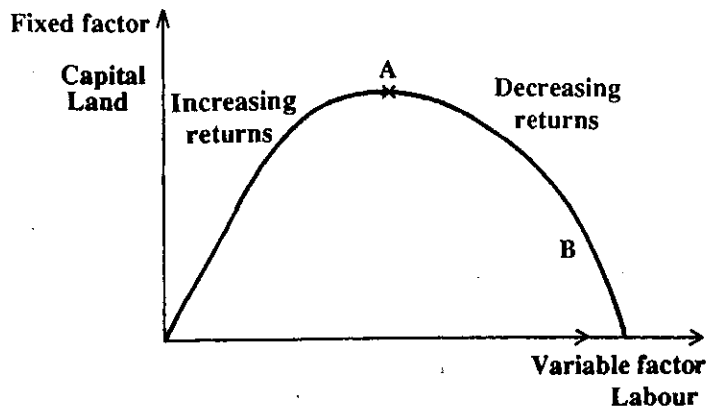
(A) Participative
(B) Laissez-faire
(C) Democratic
(D) Authoritarian

- 4 -

12. Good leadership is exemplified by which of the following activities?
- I. Motivating subordinate staff
 - II. Providing more goods at lower cost
 - III. Giving direction to the organization
 - IV. Implementing established plans
- (A) I, II and III only
(B) I, II and IV only
(C) I, III and IV only
(D) II, III and IV only
13. Which of the following policies adopted by management is MOST LIKELY to ensure worker morale?
- (A) Employees should take part in decision-making on an ongoing basis since every employee has duties and responsibilities.
- (B) Supervisors should make decisions when they have been directed to do so by the general manager.
- (C) The general manager should make all the decisions because he is responsible for the performance of all employees.
- (D) Decisions made by the top manager and his advisers must be carried out by employees as directed to ensure that there will be no break-down in work procedure.
14. A major role of a trade union is to encourage
- (A) staff to strike whenever they have problems at work
- (B) management to pay higher salaries and give longer vacations to staff
- (C) advancement of the welfare of its members
- (D) staff to become members of the union
15. Which of the following features must a simple contract have?
- I. Offer
 - II. Acceptance
 - III. Written
 - IV. Consideration
- (A) I and II only
(B) II and IV only
(C) I, II and IV only
(D) I, II, III and IV
16. If the sale of goods become void, the
- I. prospective buyer becomes the owner.
 - II. seller has the right to keep any money or goods which have been given to him in this transaction.
 - III. prospective buyer does not become the owner.
 - IV. seller must return any money or goods given to him by the prospective buyer for the transaction.
- (A) II and III only
(B) III and IV only
(C) I and IV only
(D) I, II and IV only
17. A contract may be discharged by
- I. performance
 - II. lapse of time
 - III. offer and acceptance
 - IV. breach
- (A) I and II only
(B) III and IV only
(C) I, II and IV only
(D) II, III and IV only

- 5 -

Item 18 refers to the following diagram.



The law of variable returns is represented in the figure above.

18. Point A on the graph represents the
- main point
 - middle point
 - average point
 - optimum point
19. A switch to capital intensive methods of production in a country might in the short run result in
- increased unemployment
 - increased output
 - reduced output
 - reduced unemployment
20. Which of the following is NOT a natural resource of the Caribbean?
- Gold
 - Coal
 - Bauxite
 - Timber
21. The term 'human resources' refers to
- materials and goods made by human beings
 - raw materials used in the manufacture of goods
 - capital invested by shareholders in a company
 - persons available for productive and professional services
22. The supply of labour is NOT affected by
- migration
 - birth rate
 - population census
 - school-leaving age
23. What is the MOST LIKELY effect on a developing economy when professional and skilled labour migrate to developed countries?
- Unskilled labourers can demand higher wages.
 - The demand for skilled labour and professional services will decrease.
 - Unskilled labourers can work harder.
 - Production levels of goods and services will decrease.
24. Which of the following is the BEST example of capital as a factor of production?
- Machinery
 - Shares
 - Debentures
 - Money

- 6 -

25. Which of the following are examples of extractive industries?
- I. Mining
 - II. Refining
 - III. Fishing
 - IV. Agriculture
- (A) I, II and III only
(B) I, II and IV only
(C) I, III and IV only
(D) II, III and IV only
26. Which of the following productive activities is **LEAST LIKELY** to be conducted on a large scale in the Caribbean region?
- (A) Packaging
(B) Mining
(C) Whaling
(D) Building
27. To which industry does a firm involved in food processing belong?
- (A) Extractive
(B) Manufacturing
(C) Constructive
(D) Service
28. A cottage industry can **BEST** be described as
- (A) a small scale industry centered at home
(B) an industry with pronounced use of manual processes
(C) an industry where family members are involved
(D) an industry that sells to local consumers
29. Which of the following **LEAST** affects the location of an extractive industry?
- (A) Proximity to sources of raw materials
(B) Availability of an abundant labour supply
(C) Proximity to large shopping areas
(D) The presence of good roads and drainage
30. The standard of living is measured by
- (A) the index number
(B) the per capita income
(C) the national product
(D) the national income
31. Which of the following can be described as a marketing activity?
- (A) Ensuring that workers are given fringe benefits
(B) Distributing the commodities to outlets
(C) Publicising advertisements for new staff
(D) Issuing bulletins on staff matters
32. Which of the following factors will **MOST LIKELY** affect a consumer's decision in purchasing ham?
- I. Taste
 - II. Income
 - III. Brand loyalty
 - IV. Cost of alternatives
- (A) I and II only
(B) II and IV only
(C) I, II and III only
(D) I, II, III and IV

- 7 -

33. Which of the following is LEAST LIKELY to be described as good public relations for a company?
- (A) The offering of scholarships
 - (B) Sponsorship of a steel band
 - (C) Reduction in price to retailers
 - (D) Hosting of an annual sport event
34. In which of the following types of trade can the hire purchase method of buying be used?
- (A) Wholesale trade
 - (B) Foreign trade
 - (C) Import trade
 - (D) Retail trade
35. Which of the following is NOT a function of the retailer?
- (A) Transporting goods to suitable storage facilities
 - (B) Providing a local supply of goods
 - (C) Preparing goods for resale
 - (D) Selling in small quantities
36. Before exporter B sent goods to importer A he insured the consignment and paid the captain of the vessel the charge for carriage. Goods were shipped
- (A) f.o.b.
 - (B) c.i.f.
 - (C) f.a.s.
 - (D) c.o.d.
37. A seller in Country X sent a buyer in Country Y a Bill of Exchange for \$10 000 which he accepted. The Bill was later discounted at a Bank at a rate of 8%.
- What was the amount paid by the Bank subsequently?
- (A) \$ 8 000
 - (B) \$ 9 200
 - (C) \$ 9 800
 - (D) \$10 080
38. A post-dated cheque is one which
- (A) was written no longer than six months ago
 - (B) is dated by the businessman to agree with the date of the document requesting payment
 - (C) is dated by the bank dates on the day the cheque is presented for payment
 - (D) is dated for payment at a future date
39. Which of the following allows an individual to receive cash on demand?
- (A) Crossed cheque
 - (B) Certified cheque
 - (C) Banker's cheque
 - (D) Open cheque
40. Which of the following documents is required for importing goods for which there are under-quota restrictions on imports?
- (A) Bill of lading
 - (B) Bank draft
 - (C) Bill of exchange
 - (D) Import licence

- 8 -

41. Mr. Jones has several bills of fixed amounts to pay each month. His bank manager agreed to pay them monthly from Mr. Jones' account. This service, provided by the bank, refers to

- (A) letters of credit
- (B) standing orders
- (C) overdrafts
- (D) acting as trustees

42. The MAJOR functions of a central bank are

- I. acting as the government's bank
- II. keeping deposits of all commercial banks
- III. giving loans to private individuals and companies
- IV. helping to regulate the money supply of a country

- (A) I, II and III only
- (B) I, II and IV only
- (C) I, III and IV only
- (D) II, III and IV only

43. The monthly payments collected by an insurance company on behalf of its policy holders are known as

- (A) premiums
- (B) instalments
- (C) deposits
- (D) endowments

44. Collateral is MOST needed when

- (A) taking out an insurance policy
- (B) ordering goods from a foreign manufacturer
- (C) borrowing from a financial institution
- (D) buying stock and shares

45. The document given with the purchase of an article stating that it will work for a specified period of time under given conditions is called the

- (A) guarantee
- (B) warranty
- (C) certificate
- (D) proof

46. Which of the following are the reasons for a Government imposing taxes?

- I. Promoting economic growth
- II. Redistribution of income
- III. Increasing interest rates
- IV. Improving the balance of payments

- (A) I, II and IV only
- (B) I, III and IV only
- (C) II and III only
- (D) III and IV only

Item 47 is based on the following information.

Loleen lives in a country where the following tax structure exists.

TYPE OF TAX	%
Stamp Duties	10
Capital Gains Tax	12
Corporation Tax	25
Customs Duties	30

47. Loleen bought a building and sells it to make a profit. What type of tax is she required to pay?

- (A) Stamp Duties
- (B) Corporation Tax
- (C) Capital Gains Tax
- (D) Custom Duties

- 9 -

48. Subsidies refer to
- (A) loans given to businessmen
 - (B) grants made to businesses by government
 - (C) taxes withheld by government
 - (D) profits realised from investment
49. Market equilibrium exists when
- (A) buyers pay reasonable prices for goods
 - (B) sellers are satisfied with the price paid for their goods
 - (C) at the ruling market price, buyers do not want to add to the stock of goods they already have
 - (D) at current prices, the amount buyers wish to buy equals the amount sellers want to sell
50. Which of the following features are associated with perfect competition?
- I. Many buyers and sellers
 - II. Few buyers and sellers
 - III. Freedom of entry into the market
 - IV. Barriers to entry into the market
- (A) I and III only
 - (B) I and IV only
 - (C) II and III only
 - (D) II and IV only
51. Which of the following characteristics BEST describes a competitive market?
- (A) Few sellers and many buyers
 - (B) Production of almost identical goods
 - (C) Difficult entry to new markets
 - (D) Imperfect consumer knowledge of prices
52. A 'market' in economic terms is defined as
- (A) a place where tangible goods are bought and sold
 - (B) a situation which exists when buyers and sellers influence the price of goods
 - (C) a specific place where buyers and sellers meet
 - (D) the business centre of the community
53. Which of the following are likely to affect the standard of living in a country?
- I. Widespread pollution
 - II. A low literacy rate
 - III. A high crime rate
 - IV. Advertisements
- (A) I and III only
 - (B) II and III only
 - (C) I, II and III only
 - (D) I, III and IV only
54. Indices of economic growth indicate
- I. increased production
 - II. higher per capita income
 - III. higher unemployment
 - IV. improvement in living conditions
- (A) I and II only
 - (B) II and III only
 - (C) II, III and IV only
 - (D) I, II and IV only

- 10 -

55. The features of a retail outlet are
- I. selling in small quantities to the consumer
 - II. having many departments
 - III. involvement in sole trading
 - IV. sometimes operating with relatively little capital
- (A) I and II only
(B) II and III only
(C) I, III and IV only
(D) II, III and IV only
56. A government can correct an adverse Foreign Exchange problem by
- (A) increasing customs duties
(B) implementing price floors
(C) reducing severance payments
(D) improving the rate of inflation
57. Which of the following trading agreements is Barbados promoting when it sells furniture to Jamaica?
- (A) O.E.C.S.
(B) CARICOM
(C) G.A.T.T.
(D) N.A.F.T.A.
58. Which ONE of these methods may government use to reduce unemployment?
- (A) Employment levy on firms
(B) Increases in income tax
(C) Deflation of the economy
(D) Increased interest rates on borrowing
59. Adverse Balance of Payment problems can be corrected by
- I. tariffs
 - II. quotas
 - III. devaluation
 - IV. revaluation
- (A) I and II only
(B) II and III only
(C) I, III and IV only
(D) I, II and III only
60. Which of the following are nationalised in most CARICOM territories?
- I. Food Production
 - II. Water
 - III. Communication
 - IV. Electricity
- (A) I and II only
(B) II and III only
(C) I, III and IV only
(D) II, III and IV only

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.